THE
ANNOUNCEMENT ROOM
WHAT HAPPENED. WHY IT MATTERS. WHAT COMES NEXT.

XERO LIMITED (ASX: XRO) H1 FY27 RESULT, GUIDANCE AND BUY-BACK

Xero lifts FY27 guidance and adds a new buy-back of up to A$1 billion

Xero reported its six months to 30 September 2026 alongside higher FY27 revenue and adjusted EBITDA guidance and a new on-market buy-back. Shares rose as much as about 12.3% in morning trade. Xero reports in New Zealand dollars (NZ$); the buy-back is in Australian dollars (A$).

+12.3%
Share move
Morning trade, not a closing move

NZ$362m
H1 FY27 adj. EBITDA
Reported +3%; pro-forma +23%

NZ$880-920m
FY27 adj. EBITDA guidance
Prior: NZ$860-920m

A$1bn
New buy-back
Up to, on market, 12 months

GUIDANCE: OLD VERSUS NEW (COMPANY GUIDANCE, NOT RESULTS)

FY27 operating revenue: now NZ$3,770-3,830m, from NZ$3,620-3,730m. Both ends of the range moved up.

FY27 adjusted EBITDA: now NZ$880-920m, from NZ$860-920m. The bottom of the range moved up and the top is unchanged.

FY28 revenue aspiration: now more than NZ$4.6 billion, from NZ$4.2 billion (excluding synergies).

WHAT THE HALF DELIVERED

Revenue NZ$1.745bn, up 46%.
About 41% in constant currency. Melio, acquired in October 2025, contributed about NZ$283m, or 16% of group revenue.

Adjusted EBITDA NZ$361.6m, up 3%.
The 3% is the reported figure. Including Melio in both periods, growth was 23%, which is the more like-for-like measure.

Free cash flow NZ$238m.
Up 32% on a pro-forma basis.

Net debt NZ$843.9m
at 30 September 2026, against NZ$383.4m at 31 March 2026, with about NZ$1.15bn of cash and deposits.

THE OTHER ANNOUNCEMENT

CFO transition. A separate ASX release lodged minutes after the result says CFO Claire Bramley is leaving to take up a new role with another global organisation. She remains CFO until 31 January 2027.

Background: Xero agreed to buy Melio on 25 June 2025, raised A$1.85 billion in a placement, and completed the acquisition on 15 October 2025.

Sources: Xero Limited ASX announcements dated 12 November 2026 (H1 FY27 result and outlook, FY27 interim results investor presentation, Appendix 4D, CFO transition notice), as summarised in the Vitti Capital Daily Mover for 12 November 2026 and published news coverage of the release. Share move is intraday per Vitti. Pro-forma figures include Melio in both periods and are company-presented.

General information only. Not financial advice.

Why it matters and what comes next

WHY INVESTORS APPEARED TO FOCUS ON IT

Guidance moved up.
Higher revenue and adjusted EBITDA ranges for FY27 give investors a firmer base for the year.

Rule of 40 earlier.
Xero expects a pro-forma Rule of 40 outcome of about 40% in FY27. That is a year ahead of its FY28 aspiration. The Rule of 40 adds revenue growth and a profit margin; 40% is a common software benchmark.

More capital returned.
The new buy-back of up to A$1 billion follows a recently completed A$550m program.

WHAT INVESTORS SHOULD WATCH

1 **The second-half step-up**

FY27 guidance of NZ$880-920m, less the NZ$362m delivered in H1, implies H2 adjusted EBITDA of roughly NZ$518-558m (TAR calculation). That has yet to be delivered.

2 **Net debt**

Net debt rose from NZ$383.4m to NZ$843.9m over six months, while the company is also buying back stock. Watch how the balance sheet moves.

3 **Melio**

Melio is still loss-making. Xero continues to guide to adjusted EBITDA breakeven on a run-rate basis in H2 FY28, and not before.

4 **CFO handover**

The CFO leaves by 31 January 2027, so the handover will sit alongside the H2 delivery. The next result is expected on 20 May 2027.

TAR TAKE

The update gives investors three positives: higher guidance, an earlier Rule of 40 target and a larger capital return. Against that, guidance is an expectation and not a result, reported H1 adjusted EBITDA grew only 3%, net debt has risen sharply, Melio is not yet profitable and the CFO is leaving. The second-half result is the test.

Sources: Xero Limited ASX announcements dated 12 November 2026 and 14 May 2026, as summarised in the Vitti Capital Daily Mover for 12 November 2026 and published news coverage. Prior guidance and FY28 comparatives are as shown by Vitti. The H2 implied range is a TAR calculation: 880 less 362 and 920 less 362. Pro-forma figures are company-presented and unaudited. TAR has read the announcements only through these summaries.

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